Double Jeopardy and distinctiveness

How Brands Grow

Dr Arne Floh, Senior Lecturer in Marketing
WU Vienna, Institute for International Business
arne.floh@wu.ac.at
Office hours: book online (Google Calendar)

OCTOBER 2026

How do brands grow? Two answers

Traditional view

Loyalty: grow by making customers more loyal

Differentiation: give a unique reason to choose

Targeting: tailor the message to one segment

Attitudes: image drives behaviour

Ehrenberg-Bass view

Penetration: grow by winning more buyers

Distinctiveness: be easy to notice and recognise

Reach: talk to all category buyers

Behaviour: buying shapes attitudes too

Today: test the right-hand column against the evidence, then look at where it bends.

Learning objectives

Define a brand and its tangible and intangible elements

Explain Double Jeopardy and the Duplication of Purchase law

Interpret the NBD-Dirichlet model as a benchmark for normal loyalty

Apply mental availability, Category Entry Points and distinctive assets

Evaluate critiques, boundary conditions and the Binet & Field debate

Brand management basics

WIRTSCHAFTS UNIVERSITÄT WIEN VIENNA UNIVERSITY OF ECONOMICS AND BUSINESS

Part 1 of 6 · what a brand is

EFMD EQUIS ACCREDITED AACSB ACCREDITED ASSOCIATION OF MBAS AMBA ACCREDITED

What is a brand?

A brand identifies

Definition: a name, term, design, symbol or other feature that sets one seller's offer apart from others (American Marketing Association)

Brand vs product: the product does the job; the brand tells buyers whose product it is

A brand lives in memory

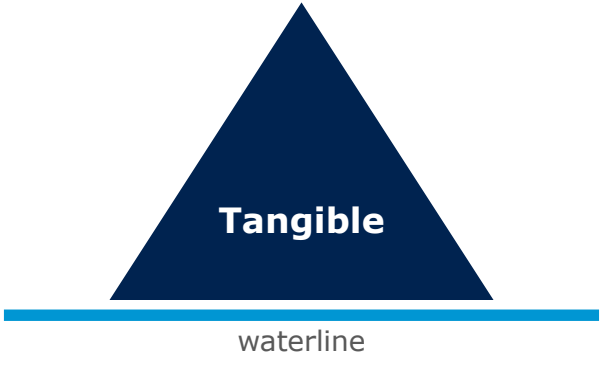
Brand knowledge: awareness of the brand plus the associations buyers link to it (Keller 1993)

Brand equity: the difference that knowledge makes to how buyers respond to the marketing

In short: what the company shows is the cue; what buyers remember is the brand.

American Marketing Association, Dictionary; Keller (1993) Journal of Marketing; Keller & Swaminathan (2020) Strategic Brand Management.

Tangible and intangible brand elements



Tangible: see, hear, touch

Name, logo, symbol, colours, typeface

Packaging, product design, characters

Slogan, jingle and sonic logo

Intangible: remember, feel, believe

Associations and image: what the brand is linked to

Personality, heritage and values

Trust, reputation and emotions from experience

Example: Manner, Vienna

Tangible

Colour: the pink packs

Symbol: St Stephen's Cathedral in the logo

Product: the Neapolitaner hazelnut wafers

Slogan: 'Manner mag man eben'

Intangible

Heritage: a Viennese family firm since 1890

Associations: Vienna, childhood, a small treat

Feelings: nostalgia, familiarity, local pride

Your turn (3 minutes): split Red Bull or Almdudler into tangible and intangible elements.

Why brands matter, and what managers do

For buyers

Identify the maker quickly; **cut search** time and **reduce risk**

For firms

Legal protection, price premium, easier launches and **financial value**

Position	Market	Measure	Sustain
Define positioning and values	Design the marketing programme	Track brand performance	Grow brand equity over time

Today's lens: which of these activities actually make brands grow?

The laws of brand buying

WIRTSCHAFTS UNIVERSITÄT WIEN VIENNA UNIVERSITY OF ECONOMICS AND BUSINESS

Part 2 of 6 · laws from panel data

EFMD EQUIS ACCREDITED AACSB ACCREDITED ASSOCIATION OF MBAS AMBA ACCREDITED

A law is a pattern that replicates

Observe	Replicate	Model	Use
A regularity in purchase data, e.g. small brands have lower loyalty	Across categories, countries, years and data sources	Explain and predict it: NBD (1959), Dirichlet (1984)	Benchmark brands: is this loyalty normal for this size?

Differentiated replication: one study proves little; a pattern that holds under varied conditions is a law.

Ehrenberg (1995) Marketing Science; Uncles & Kwok (2013) Journal of Business Research; Goodhardt, Ehrenberg & Chatfield (1984).

Double Jeopardy: small brands lose twice

Smaller brands have **far fewer buyers**, and those buyers are **slightly less loyal**.

First seen by sociologist William McPhee (1963) for comic strips and radio presenters; established for brands by Ehrenberg, Goodhardt & Barwise (1990).

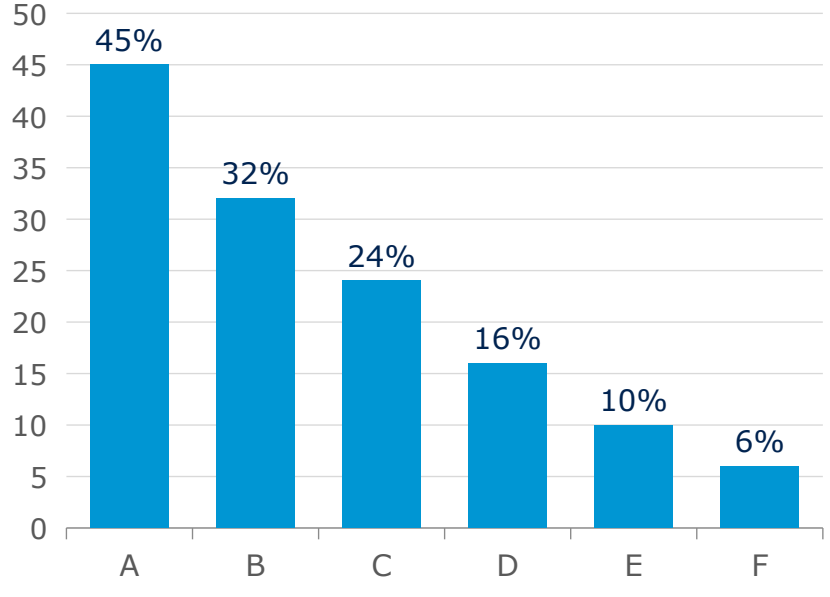
Rule of thumb

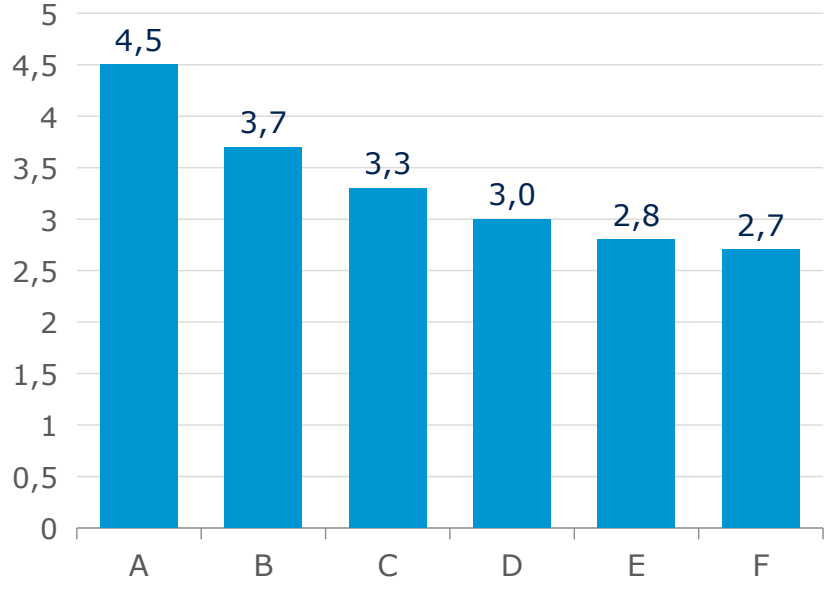
$$w\,(1 - b) \approx w_0$$

b = penetration, w = purchases per buyer, w0 = constant for the category

Implication: a brand cannot grow big on loyalty alone; loyalty differences mostly follow from size.

Penetration varies a lot; loyalty only a little





Brands A to F. Illustrative data from w(1 − b) ≈ w0 with w0 = 2.5: penetration differs 7.5-fold, purchase frequency only 1.7-fold.

Why Double Jeopardy happens

Buyers hold repertoires

Most category buyers buy several brands; 100% loyal buyers are rare and usually light buyers.

Small brands are less available

Fewer people know them or find them in store, so they are noticed less often.

Their buyers also buy the leaders

A small brand's few buyers spend much of their category budget on big brands.

The Dirichlet reproduces Double Jeopardy from market shares alone.

Sharp (2010), ch. 2; Ehrenberg, Goodhardt & Barwise (1990); Goodhardt, Ehrenberg & Chatfield (1984); Kucuk (2008).

Duplication: buyers shared by size

Buyers of …	also A	also B	also C	also D
Brand A	–	38	25	12
Brand B	50	–	27	14
Brand C	53	40	–	**30**
Brand D	51	37	**55**	–
Expected	**52**	**39**	**26**	**13**

% of each brand's buyers who also bought A to D.

Read down a column: all brands share buyers with A at about the same rate, set by A's size.

Highlighted: C and D share far more buyers than expected, a market partition.

Illustrative data: penetration A 40%, B 30%, C 20%, D 10%; expected = D × penetration with D = 1.3. Law: Ehrenberg & Goodhardt (1970).

The Dirichlet predicts 'normal'

Inputs	Model	Outputs
Category penetration	NBD: how often people buy the category	Penetration
Category purchase rate	Dirichlet: which brand each time	Purchase frequency
Brand market shares	Assumes a stable, unpartitioned market	Share of requirements
		% sole buyers
		Duplication

Use the predictions as benchmarks: the deviation is the interesting finding.

Goodhardt, Ehrenberg & Chatfield (1984); Ehrenberg, Uncles & Goodhardt (2004); R package NBDdirichlet.

Light buyers matter more than expected

≈ 60/20

The heaviest 20% of a brand's buyers deliver about 60% of its sales, not 80%.
Sharp, Romaniuk & Graham (2019)

> 1/3

of a brand's buyers buy it only once in five years, yet they are vital to sales.
Graham & Kennedy (2021)

Bigger

brands attract an even higher share of light category buyers (Natural Monopoly).
Sharp (2010); Stocchi et al. (2017)

Takeaway: plans that only talk to heavy, loyal buyers miss most of the growth potential.

How brands grow



Part 3 of 6 · penetration and availability

Brands grow by winning more buyers

Penetration moves most when brands grow or decline; loyalty moves a little, as Double Jeopardy predicts.

Loyalty schemes barely change repeat buying relative to Dirichlet norms.

So the job is to reach and be bought by all category buyers, including light and non-buyers.

Evidence

Dawes (2016): ten growth cases, growth via penetration

Sharp & Sharp (1997): loyalty programmes and repeat buying

Barker-Trowse et al. (2026): tiny brands, limits of loyalty

Ask: how do we reach more category buyers, not how do we make buyers more loyal?

Kantar data: growth means new buyers

≈ 80%

of brands that grow their Brand Footprint do so by increasing penetration (global average).

Kantar Worldpanel, Brand Footprint 2025 (15 Sep 2025)

86%

of Latin American brands that gained consumer reach points in 2024 did so by attracting new shoppers.

Kantar, Brand Footprint Latin America (15 Sep 2025)

≈ 50%

of FMCG brands grow in a given year; the other half decline (30,000+ brands, 56 markets).

Kantar Worldpanel, Brand Footprint 2025

Takeaway: an independent industry panel finds the same pattern as Ehrenberg-Bass: growth comes from more buyers.

Two kinds of availability drive penetration

Mental availability

What: the chance the brand comes to mind in buying situations

Built by: broad reach, consistent distinctive assets, links to many entry points

Measured by: mental penetration, network size, mental market share

Physical availability

What: how easy the brand is to find and buy

Built by: presence, relevant range and pack sizes, prominence on shelf and online

Measured by: weighted distribution, share of shelf, search visibility

Both are needed: a brand nobody thinks of, or nobody can find, cannot grow.

Sharp (2010), ch. 12; Romaniuk (2022) Better Brand Health; Romaniuk (2013) Journal of Business Research.

B2B: the 95:5 rule

5 years	a firm changes a key provider, such as its bank or law firm, about once every five years
20%	of buyers are therefore in the market in a given year
5%	are in the market in a given quarter; 95% are not

Implications

Prime the 95%: build mental availability before buyers enter the market

Activate the 5%: sales and performance media for those ready to buy

Measure memory, not only leads: recall and links to entry points

Same laws, new setting: B2B brands also grow through reach and mental availability.

Dawes (2021) for the LinkedIn B2B Institute; Ehrenberg-Bass Institute, 'The 95:5 rule: why B2B growth starts long before the purchase'; Romaniuk, Dawes & Faghidno (2021).

Category Entry Points: buying cues

Why	When	Where	With whom
to wake up, to celebrate	Monday morning, Christmas	at work, at the ski hut	friends, kids, alone

With what	While	Feeling	
with breakfast, with pizza	studying, driving	tired, festive, stressed	**Goal: link the brand to more entry points, for more buyers**

Examples for a coffee or energy drink brand. Romaniuk (2022); LinkedIn B2B Institute, Category Entry Points in a B2B World.

Brand distinctiveness

Part 4 of 6 · recognised beats different

Distinctiveness over differentiation

Differentiation

Idea: a meaningful difference gives a reason to prefer the brand

Evidence: few buyers see competing brands as different; image profiles look alike once size is controlled

Distinctiveness

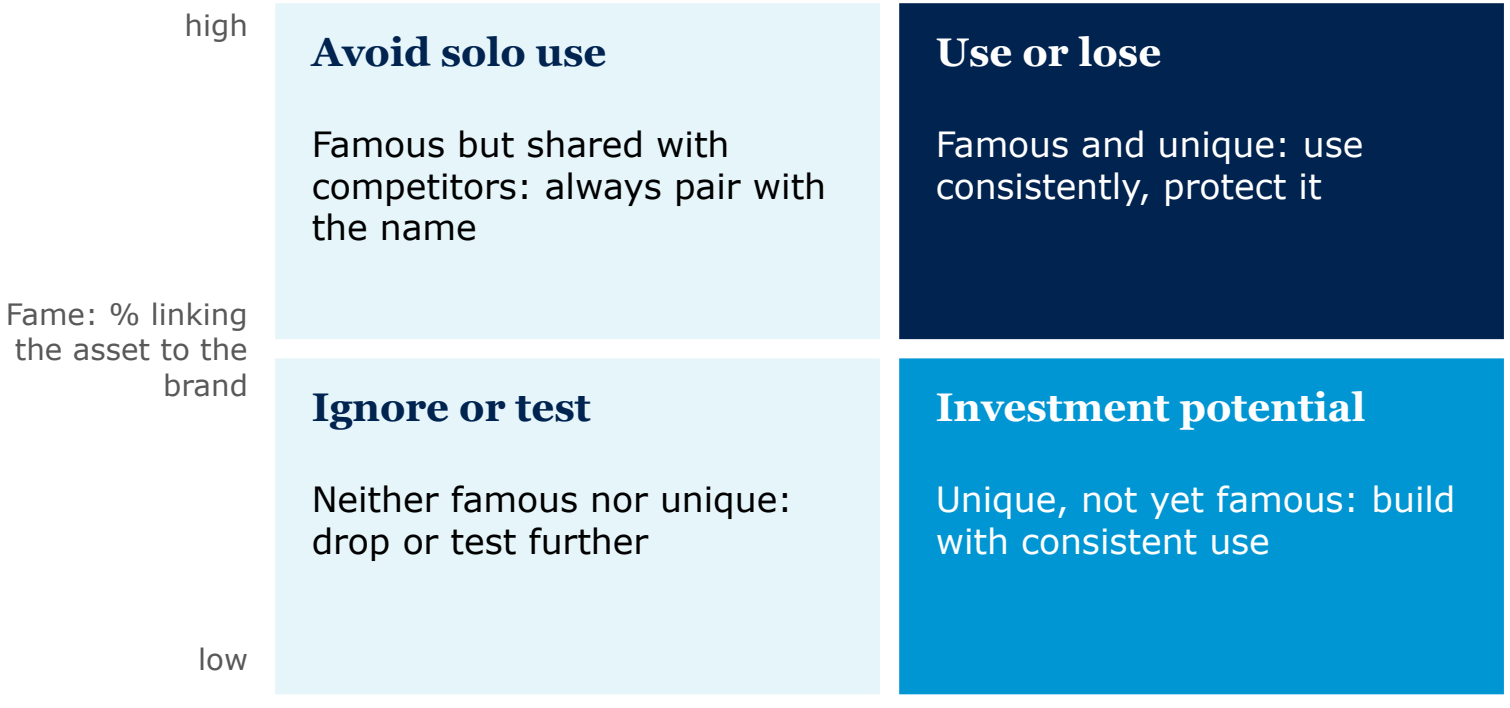
Idea: branding that lets buyers identify the brand without reading the name

Assets: colours, logos, shapes, characters, slogans, sonic logos, fonts

Branding's first job: be noticed and recognised; being liked comes later.

Ehrenberg, Barnard & Scriven (1997); Romaniuk, Sharp & Ehrenberg (2007); Romaniuk & Gaillard (2007); Romaniuk & Ehrenberg (2012).

The asset grid: fame × uniqueness



Romaniuk (2018) Building Distinctive Brand Assets; Brus, Hartnett & Faulkner (2025) Journal of Brand Management.

When brands drop famous assets

Tropicana, 2009

New carton dropped the orange-with-straw image. Unit sales fell 20% from 1 Jan to 22 Feb 2009; the old pack was back by the end of February.

A famous, unique asset was lost

Ad Age via Bloomberg (2 Apr 2009)

Gap, 2010

On 6 October a new logo replaced the blue box. After a customer outcry, Gap returned to the old logo on 12 October.

Fame takes years; loss takes days

CNN Money (12 Oct 2010)

Jaguar, 2024

'Copy Nothing' relaunch with a new type mark and restyled leaper. The launch film showed no cars and drew heavy criticism.

Open case: the sales effect is still unclear

AP via Boston.com (20 Nov 2024)

Before you change an asset: test its fame and uniqueness with buyers.

When brands build on famous assets

Mastercard, 2019

Dropped its name from the logo: over 80% of people recognised the circles without the word, said CMO Raja Rajamannar. A sonic logo followed.

Use or lose, in practice

Mastercard via Finextra and Dezeen (Jan 2019)

Cadbury purple

Dairy Milk's purple (Pantone 2685C) is famous, yet in 2013 the UK Court of Appeal refused it as a trademark after Nestlé's challenge.

Distinctive, but hard to own legally

Nestlé v Cadbury [2013] EWCA Civ 1174

Burger King, 2021

First rebrand in over 20 years: back to a logo close to its 1969 to 1999 design, and a custom font, designed by Jones Knowles Ritchie.

Heritage assets can be revived

Campaign (2021)

Pattern: consistent use makes an asset famous; protect it legally where you can.

Critiques and boundary conditions

Part 5 of 6 · where the laws bend

Where the laws bend

Big brands
Market leaders often show more loyalty than the Dirichlet predicts
Fader & Schmittlein (1993)

Small brands
About 60% of small UK FMCG brands sit over 10% below expected repeat rates
Franke, Bennett & Graham (2018)

Online buying
Large brands gain, small brands lose loyalty relative to the norm
Danaher, Wilson & Davis (2003)

Store brands
Private labels show relatively higher behavioural loyalty
Dawes (2022)

Negative DJ
Big brands also attract more anti-brand activity online
Kucuk (2007)

Attitudes
Attitudinal loyalty predicts later behaviour change
Baldinger & Rubinson (1996)

The debate: Sharp, Binet & Field, Ritson

	Broad agreement	Live disagreement
Reach	Reach broadly, stay on air	How much to target and segment
Brand	Brand building and assets pay off	Role of emotion and positioning
Loyalty	Acquisition drives growth	Whether loyalty is a lever at all
Rules	Evidence beats opinion	Status of 60:40 and share of voice

Debate motion (10 minutes): 'Targeting is a waste of money.'

Binet & Field (2013) The Long and the Short of It; Sharp in WARC (2020); Marketing Week (2026) on the Sharp and Ritson session at Cannes.

Apply it

Part 6 of 6 · data lab and asset audit

Lab: Double Jeopardy in real data

Data → Prepare → Compute → Model → Explain

Data

dunnhumby 'The Complete Journey'

2 years, 2,500 households

Free download (check licence)

1. Pick a category, aggregate purchases by brand
2. Compute penetration, purchases per buyer, share of requirements
3. Fit the Dirichlet with the R package NBDdirichlet
4. Plot the Double Jeopardy line; explain the biggest deviation

Deliverable: one chart, one observed-versus-predicted table, half a page of interpretation.

Data: dunnhumby.com/source-files. Software: NBDdirichlet (CRAN). Method: Ehrenberg, Uncles & Goodhardt (2004).

Exercise: audit an Austrian brand

1. Choose a brand: Manner, Red Bull, Almdudler or Spar
2. List 6 to 8 candidate assets: colour, logo, shape, slogan, sound
3. Run a reverse-recognition survey with 30+ category buyers
4. Compute fame and uniqueness; plot each asset on the grid
5. Recommend: use, invest, pair with the name, or drop

Discuss

Which asset would you never change, and why?

Is 'Manner mag man eben' famous, unique, or both?

How would light buyers answer?

Work in pairs; run the survey as homework and bring the grid to the next session.

Method: Romaniuk (2018); Ehrenberg-Bass Institute, Distinctive Asset Measurement. Slogan survey: Marketagent via Tiroler Tageszeitung.

References

Core reading

Sharp (2010) How Brands Grow

Romaniuk (2018) Building Distinctive Brand Assets

Ehrenberg et al. (1990) Double Jeopardy revisited, J. Marketing

Sharp et al. (2012) It's a Dirichlet world, JAR

Keller & Swaminathan (2020) Strategic Brand Management

Extension, critique

Romaniuk & Sharp (2016) How Brands Grow Part 2

Romaniuk (2022) Better Brand Health

Binet & Field (2013) The Long and the Short of It

Fader & Schmittlein (1993) Excess behavioral loyalty, JMR

Graham et al. (2017) Double Jeopardy 50 years on, AMJ

Industry evidence

Kantar (2025) Brand Footprint

Dawes (2021) The 95:5 rule, LinkedIn B2B Institute

Ad Age / Bloomberg (2009) Tropicana packaging

Mastercard (2019) Symbol without the name

Nestlé v Cadbury (2013) EWCA Civ 1174

Key takeaways

1. **Brands:** tangible elements are the cues; what buyers remember is the brand.
2. **Double Jeopardy:** small brands have fewer, slightly less loyal buyers; that is normal.
3. **Duplication:** brands share buyers in line with size; partitions are the exception.
4. **Growth:** comes mainly from penetration, via mental and physical availability.
5. **Distinctiveness:** build famous, unique assets and keep using them.
6. **Boundaries:** judge every claim against the Dirichlet benchmark.

Next: the data lab. Bring a laptop with R or Python installed.

VIENNA UNIVERSITY OF ECONOMICS AND BUSINESS

INSTITUTE FOR INTERNATIONAL BUSINESS
Welthandelsplatz 1, 1020 Vienna, Austria

DR ARNE FLOH
Senior Lecturer in Marketing

F +43-31336-6367
arne.floh@wu.ac.at
www.wu.ac.at/en/welthandel/arne-floh
Office hours: book online